

opinions. Furthermore, the information can be outdated or confusingly presented. Availability bias causes people to attribute disproportionate degrees of credibility to such information when it arrives amid a flurry of media attention. Many investors, suffering from information overload, overlook the fact that they often lack the training, experience, and objectivity to filter or interpret this deluge of data. As a result, investors often believe themselves to be more accurately informed than is, ultimately, the case. Because availability bias is a cognitive bias, often it can be corrected with updated information.

NOTES

1. Daniel Kahneman, Paul Slovic, and Amos Tversky, eds., *Judgment under Uncertainty: Heuristics and Biases* (New York: Cambridge University Press, 1982).
2. Pedro Santa-Clara and Rossen Valkanov, "The Presidential Puzzle: Political Cycles and the Stock Market," *Journal of Finance* 58(5) (October 2003): 1841–1872.
3. Brad M. Barber and Terrance Odean, "All That Glitters: The Effect of Attention and News on the Buying Behavior of Individual and Institutional Investors" (working paper, University of California-Berkeley, 2002).
4. See Paul Slovic, Baruch Fischhoff, and Sarah Lichtenstein, "Facts versus Fiction: Understanding Public Fears," in Daniel Kahneman, Paul Slovic, and Amos Tversky, eds., *Judgment under Uncertainty: Heuristics and Biases* (New York: Cambridge University Press, 1982), 463–491.
5. Christopher Gadarowski, "Financial Press Coverage and Expected Stock Returns" (working paper, Cornell University, 2001).